UNIT 1 – INTRODUCTION TO MARKETING

Meaning:

Marketing is the process of getting the right goods or services or ideas to the right people at the right place, time, and price, using the right promotion techniques and utilizing the appropriate people to provide the customer service associated with those goods, services, or ideas. Marketing is a form of communication between a business house and its customers with the goal of selling its products or services to them. Goods are not complete products until they are in the hands of customers. Marketing is that management process through which goods and services move from concept to the customer. Marketing has less to do with getting customers to pay for a product as it does with developing a demand for that product and fulfilling the customer's needs.

According to the American Marketing Association (AMA) Board of Directors, Marketing is the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large.

Dr. Philip Kotler defines marketing as "the science and art of exploring, creating and delivering value to satisfy the needs of a target market at a profit". Marketing identifies unfulfilled needs and desires. It defines, measures and quantifies the size of the identified market and the profit potential. It pinpoints which segments the company is capable of serving best and it designs and promotes the appropriate products and services.

- ***NATURE/FEATURES OF MARKETING – PPT***

- **SCOPE OF MARKETING**

The scope of marketing is determined by the market offering of an organization. Market offering is a combination of goods, services or ideas, persons, place, information offered to market to satisfy specific needs and wants of people. Market offerings can also include Idea, person, organization, places as discussed below

1) Goods: - an item is considered good if it is tangible at a something that could be tasted, heard smelled or seen. The examples are bread, fruits, mobile phone and TV.

2) Services: - these consist of services of professional like doctor, advocate, chartered accountant, electrician and other services such as banking, insurance, and transport.

3) Ideas: - an idea is a mental concept and it is intangible in nature. Marketer makes an idea to change the behavior of the target people in some way. For example, pulse polio campaign, anti-smoking, campaigns are the example of spreading specific idea to change the behavior of perception of the target audience

4) Persons: - marketing of person has become a specialized job these days. Experts are employed to market specific personality like politicians, actor, and painters. For example, the election campaign by the major political parties generally concentrates on marketing their leader to the voters.

5) Organization: - many organization including social political, religious, educational market them to build up their reputation and to make people aware about their activities

6) Places: - the marketing of places is also a common feature of the day tour and travel agencies induce people to visit various tourism and health resorts such as Red Fort, Pink City. It is also called as destination marketing.

7) Events: - event marketing promotes time base events such as trade fair, social, central events, religious events. Sports events and entertainment night the famous examples include includes International Trade Fair and Book Fair at Pragati Maidan

8) Experience: - this marketing includes promoting activities that provide fun filled thrilling experience to people for example the joy rides in amusement park, Water Park at specified locations.

9) Real estate: - real estate Builders and Developers use organized marketing to promote their market offering for example plots, flat, commercial shops and offices.

- **FUNCTIONS OF MARKETING**

Marketing involves a number of sub-functions for successfully designing and distributing goods and services to the customers. The marketing functions are as follows:

1. Marketing Research:

It is one of the important areas of marketing. Marketing research is a process which consists of systematic gathering, recording and analyzing data about marketing problems. Marketing research helps to design effective marketing plans to design and sell products in the market.

The two main areas of marketing research are :

• Consumer Research - enables the marketer to find out preferences, likes and dislikes, buying behaviour of the customers. It also enables to get the reactions of the

• customers towards the company's products and services.

Dealer Research - enables the marketer to get feedback from the dealers in respect of the firm's products vis-à-vis that of competitors. It also enables to get the reactions of the dealers towards the dealer-oriented promotion tools vis-à-vis that of the competitors.

2. Branding:

Branding is an important aspect in today's competitive business world. The marketer must consider certain essentials while selecting a suitable brand name for a particular product. Some of the essentials of a good brand name include:

• Capable of describing features such as Duracell and All Clear.

Universal usage - which can be used world-wide such as Pepsi and Coca Cola.

Relevant to the product such as Fair & Lovely and Revital.

• Easy to pronounce such as Lux and Limca.

A good brand name aids customers in identifying the branded item. It creates brand loyalty and among other things aids in brand extensions.

3. Advertising:

Now-a-days, advertising is considered to be one of the most effective ways of promoting goods and services. Advertising is the paid form of non-personal promotion of ideas, goods and services by an identified sponsor. The main objective of advertising is to create awareness of the product.

The other objectives of advertising include:

• To develop positive attitude.

• To develop brand image.

• To enhance brand loyalty.

• To face competition in the market.

• To develop corporate image.

• To educate the buyers, etc.

4. Product Design:

Firms need to come up with new product designs or models cater to the satisfaction of customers. Introduction of new product designs helps to generate goodwill in the market, which in turn expands the business.

Firms especially in the field of pharmaceuticals, engineering electronics, etc., need to allocate a good amount of tun towards research and development. New product designs help a firm to get competitive edge in the market. For example, Suzuki Motors has planned to introduce at least one new mode of car in a year.

5. After-Sale-Service:

Effective after-sale-service is vital, especially in the case of office equipment, machinery and consumer durables. To promo corporate image, the marketer must provide effective after-sale service.

Firms must not wait for the customers' reminders to provide after-sale-service. The firm must be proactive in after-sale service management. If possible, a firm may provide addition after-sale-service to delight the customers.

To provide effective after-sale-service, the marketing firm must

• Select the right employees.

• Train the employees to improve their skills, attitude and social behaviour.

• Motivate the after-sale-service staff by providing incentives.

6. Sales Promotion:

Sales promotion is an important element of promotion mix. Sales promotion involves various tools to induce the customers to buy the products. The sales promotion tools include:

• Buy-back offers.

• Banded or Combo Products.

• Coupons or cash vouchers.

• Discounts.

• Exchange Offers.

• Free Samples and Free Gifts.

• Guarantees and Warranties, etc.

7. Salesmanship/Personal Selling:

One of the important areas of marketing involves personal selling. The personal selling staff or the sales force makes a big difference not only in promoting the products but also to generate goodwill of the firm.

For personal selling to be effective, there is a need for:

• Proper selection of sales force. Apart from interviews, relevant selection tests may be conducted, such as personality test, aptitude test, interest test, etc.

• Training must be provided to the sales force to develop knowledge, attitude, skills and social behaviour.

• The sales force needs to be constantly motivated to achieve sales targets.

8. Pricing:

Price refers to the exchange value at which the seller is willing to sell and the buyer is willing to buy. Effective pricing policy is vital to the success of the product in the market. The price should be right and within the lines of the competitors. The prices should neither be too high nor too low. If it is too high, buyers may think twice before paying for the product. If it is too low, buyers may consider the product's quality as inferior.

While fixing the price, the marketer must consider cert factors:

• Cost of production and distribution.

• Competition in the market.

• Corporate image.

• Channels of distribution.

• Customers' Nature.

• Credit policy of the firm.

• Demand for the product, etc.

9. Physical Distribution:

It includes place of distribution and the channels used f distribution. Consumers want products to be available at the convenient place and on time. For this purpose, the market can select either the direct or indirect channel to reach the products to the buyers.

The factors influencing channel selection include:

• Channel adopted by the competitors.

• Customers' nature.

• Corporate image of the firm.

• Objectives of the firm.

• Products nature.

• Area coverage, etc.

10. Customer Relationship Management:

Nowadays, professional firms place lot of emphasis on CR It is concerned with managing detailed information abo individual customers and all 'customer touch points' (eve contact between the customer and the company - right from order placement to after-sale-service). The purpose of CRM to enhance customer loyalty. Therefore, firms must place emphasis on 'Most Valued Customers'.

11. MIS Management:

In large business firms, marketing managers have to manage marketing information system (MIS). A systematic MIS enables business firms to gather, analyse, and distribute accurate information to marketing decision-makers.

The MIS consists of the following four components:

• Internal records in respect of costs, sales, profits, and so

on.

• Marketing intelligence system - information of competitors, marketing trends, etc.

• Marketing research to solve specific marketing problems.

• Marketing decision support systems.

12. Test Marketing:

It is a process of launching a product in a very limited market area in order to find out the acceptance of the product by the customers. Test marketing is especially required in the case of innovative products. If test marketing is successful; the marketer would launch the product over a larger market area.

13. Other Functions:

There are several other marketing activities which include:

• Product positioning

• Packaging

• Public relations

• Participation in trade fairs and exhibitions.

- ***EVOLUTION/ORENTATION OF CORE MARKETING CONCEPTS – PPT***

- **CORE MARKETING CONCEPTS**

1) **Needs:** These are basic human requirements, such as food, shelter, clothing, and safety, essential for survival and well-being.
   Stated needs: These are expressed desires of customers for specific products or services.
   Real needs: Fundamental requirements for survival and well-being that may not always be expressed by customers but are essential.
   Unstated needs: Needs that customers are not consciously aware of but can be inferred through observation and understanding of their behaviour.
   Delight needs: Needs that exceed basic requirements and aim to provide unexpected joy or satisfaction to customers.
   Secret needs: Hidden desires or aspirations of customers that they may not openly express but can significantly influence their purchasing decisions.

2) **Wants**: Desires for specific products or services that satisfy customers' needs. Wants are shaped by factors such as culture, personality, and individual preferences. For example, while food is a need, a particular cuisine or brand of food may be a want.

3) **Demand**: Demand refers to the willingness and ability of consumers to purchase a particular product or service at a given price and time. It arises when wants are backed by purchasing power. **Demand = desire + ability to pay +willingness to buy.**
   Negative demand: Occurs when customers actively dislike a product and may seek alternatives or avoid it altogether.
   No demand: Refers to the absence of desire or interest in a product or service.
   Latent demand: Potential demand for a product or service that exists but has not yet been realized due to various factors such as lack of awareness or availability.
   Declining demand: Occurs when the desire for a product or service decreases over time due to changing consumer preferences, technological advancements, or other factors.
   Irregular demand: Fluctuating demand patterns characterized by unpredictable buying behaviour.
   Full demand: When the demand for a product or service matches its available supply.
   Overfull demand: Demand that exceeds the available supply, leading to shortages or waiting lists.

Unwholesome demand: Demand for products or services that may have negative consequences for individuals or society.

4) **Exchange**: Exchange involves the process of obtaining a desired product or service by offering something of value in return. It is the fundamental concept underlying transactions in marketing.

5) **Transactions**: Transactions occur when a buyer exchanges something of value (money, goods, services) with a seller to obtain a product or service. It is a crucial aspect of marketing as it represents the point where value is exchanged between parties.

- **Barter transaction:** Exchange of goods or services without the use of money, where each party provides something, the other party desires.
- **Monetary transaction:** Exchange of goods or services for money, which is the most common form of transaction in modern economies.

6) **Transfer**: Transfer is the act of moving the ownership of a product or service from one party to another. It is a key element of transactions.

7) **Product**: A product can be anything that can be offered to a market to satisfy a want or need. It can be tangible (physical goods) or intangible (services, experiences, ideas).

8) **Market**: A market consists of potential buyers (consumers) who share a particular need or want and have the ability and willingness to engage in exchange to satisfy that need or want.

9) **Value**: Value is the perceived benefit that customers receive from a product or service compared to the cost of acquiring it. It's what customers are willing to pay for the benefits they receive. Value influences customers' purchasing decisions and satisfaction levels.

10) **Satisfaction**: The feeling of pleasure or contentment that customers experience after using a product or service, resulting from the product or service meeting or exceeding their expectations. Satisfaction is a key determinant of customer loyalty and repurchase behavior.

    - When product performance matches with customer expectations, customer is satisfied.
    - When product performance is below customer expectation, customer is dissatisfied.
    - When product performance exceeds customer expectations customer is delighted.

➢ 4 C's OF MARKETING

The **4 C's of Marketing**—Customer, Cost, Convenience, and Communication—focus on delivering value to the customer by addressing their needs, preferences, and expectations.

1. Customer (Focus on Customer Needs and Wants)

- **Definition:** The customer is at the heart of the 4 C's model. This aspect emphasizes understanding and prioritizing what the customer needs or desires, rather than focusing solely on the product or service a company offers.
- **Key Points:**
  - Conduct in-depth market research to identify customer pain points, preferences, and expectations.
  - Develop products or services that solve specific problems or fulfill desires.
  - Shift from a product-driven approach to a customer-driven one, ensuring that offerings are relevant and valuable.
- **Example:** Apple focuses on creating products that align with customer expectations for innovation, ease of use, and sleek design, rather than simply launching new technology.

2. Cost (Total Cost to the Customer)

- **Definition:** Cost encompasses more than just the price of the product; it includes all associated costs a customer might incur, such as maintenance, time investment, and opportunity costs.
- **Key Points:**
  - Evaluate the total cost of ownership, including indirect costs like installation, training, or downtime.
  - Ensure customers perceive value in the cost by balancing quality and affordability.
  - Highlight long-term savings or benefits to justify the upfront investment.
- **Example:** A subscription-based service like Netflix emphasizes convenience and variety to make its recurring cost worthwhile for customers.

3. Convenience (Ease of Access and Purchase)

- **Definition:** Convenience is about ensuring that customers can easily find, access, and purchase your product or service. This replaces the traditional "Place" in the 4 P's.
- **Key Points:**
  - Streamline the customer journey from discovery to purchase, whether online or offline.
  - Offer flexible buying options, such as e-commerce platforms, mobile apps, or in-store pick-ups.
  - Focus on customer support and after-sales service to enhance the overall experience.
- **Example:** Amazon has revolutionized convenience by providing fast delivery, easy returns, and a user-friendly website, making it simple for customers to shop anytime, anywhere.

4. Communication (Engaging and Building Relationships)

- **Definition:** Communication replaces the traditional "Promotion," emphasizing two-way interaction between the business and its customers. It’s about building meaningful relationships rather than just pushing messages.
- **Key Points:**
    - Use personalized and interactive communication channels, such as social media, email marketing, and customer feedback loops.
    - Listen to customers, address concerns, and incorporate their feedback into your offerings.
    - Build trust through transparency, authenticity, and consistent messaging.
- **Example:** Nike engages customers through inspiring campaigns, storytelling, and active participation on social media, fostering loyalty and a strong brand connection.

Conclusion:

The **4 C's of Marketing** shift the focus from what the company wants to sell (4 P's) to what the customer needs. By prioritizing the **Customer**, evaluating the **Cost**, ensuring **Convenience**, and fostering meaningful **Communication**, businesses can create stronger connections, deliver greater value, and achieve long-term success.

➢ <u>4 P’s OF MARKETING</u>

The **4 P's of Marketing**—Product, Price, Place, and Promotion—form the foundation of traditional marketing strategies. They represent the key elements that a business must manage to successfully market its goods or services.

1. Product (What You Offer)

- **Definition:** The product is the core offering that satisfies a customer’s needs or wants. It can be a tangible good, a service, or even an idea.
- **Key Points:**
    - **Product Design:** Focus on functionality, aesthetics, quality, and features that make the product stand out.
    - **Life Cycle:** Manage the product through its lifecycle—introduction, growth, maturity, and decline.
    - **Differentiation:** Identify and communicate what makes the product unique (e.g., branding, innovation).
    - **Packaging:** Ensure the product’s packaging is appealing, functional, and informative.
    - **Customer Feedback:** Continuously improve the product based on customer needs and feedback.
- **Example:** Apple’s iPhone is known for its sleek design, cutting-edge technology, and user-friendly features that consistently address consumer demands.

2. Price (What It Costs)

- **Definition:** Price refers to the amount a customer pays for the product or service. It is critical as it affects demand, profitability, and customer perception of value.
- **Key Points:**
  - **Pricing Strategy:** Employ strategies like cost-plus pricing, value-based pricing, or competitive pricing.
  - **Perceived Value:** Ensure the price aligns with the value customers perceive in the product.
  - **Discounts and Offers:** Use pricing tactics such as discounts, bundling, or seasonal pricing to attract customers.
  - **Market Factors:** Consider competitor prices, production costs, and economic conditions.
- **Example:** Luxury brands like Rolex price their products high to emphasize exclusivity and prestige.

3. Place (Where It's Available)

- **Definition:** Place involves the distribution channels and locations where the product or service is made available to customers. The goal is to ensure accessibility and convenience for the target market.
- **Key Points:**
  - **Distribution Channels:** Decide whether to use direct channels (e.g., online stores) or intermediaries (e.g., wholesalers, retailers).
  - **Location Strategy:** Choose locations based on customer behavior and preferences, such as online platforms, retail stores, or kiosks.
  - **Logistics:** Optimize inventory, transportation, and warehousing to ensure timely delivery.
  - **Global Reach:** Adapt distribution strategies for local, regional, or international markets.
- **Example:** Amazon uses its extensive logistics network and online platform to make products accessible to customers worldwide.

4. Promotion (How You Communicate)

- **Definition:** Promotion encompasses all activities used to inform, persuade, and remind customers about the product or service.
- **Key Points:**
  - **Advertising:** Use platforms like TV, radio, social media, and print to create awareness.
  - **Sales Promotion:** Offer short-term incentives like discounts, coupons, or free trials to boost sales.
  - **Public Relations (PR):** Build a positive brand image through press releases, events, and sponsorships.
  - **Personal Selling:** Use direct interaction, such as sales representatives, to address customer concerns.
  - **Digital Marketing:** Leverage email, social media, and search engine marketing to engage with modern consumers.
- **Example:** Coca-Cola runs memorable advertising campaigns and promotions to maintain its status as a global leader in the beverage market.

Conclusion:

The **4 P's of Marketing** provide a structured framework for creating and executing a marketing strategy. By aligning the **Product**, **Price**, **Place**, and **Promotion** with customer needs and market dynamics, businesses can effectively reach their target audience, build brand loyalty, and achieve competitive success.